

Domain A: Understanding Financial Crime

Complete CAMS Study Guide

All Questions from PNG Files Fully Explained

Money Laundering Stages

Terrorist Financing vs Money Laundering

Sanctions, PEPs, VASPs, DNFBPs

Gatekeepers, Technology, Data

FATF Recommendations & Global Standards

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Section 1: Money Laundering Definition & Stages

Understanding the Three Stages of ML

Placement → Layering → Integration

Placement: Introducing illicit cash into the financial system (the most detectable stage).

Layering: Obscuring origin through complex transactions (multiple accounts, jurisdictions).

Integration: Returning “cleaned” funds to the legitimate economy (the ultimate goal).

REMEMBER: Money laundering is NOT just hiding money. The goal is **integration** so funds can be freely used.

Q1: Money Laundering Definition & Scope

Question

A trainee states: *"Money laundering just means hiding dirty money from authorities."*
Which response BEST corrects this understanding?

- A. Correct concealment from authorities is the primary objective.
- B. Incorrect hiding is only the placement stage; the goal is integration so funds can be freely used.
- C. Partially correct hiding is the goal but layering is what makes it criminal.
- D. Incorrect ML is only illegal when the predicate offense is a felony.

✓ **CORRECT: B** is correct.

Explanation: ML has three stages: **Placement**, **Layering**, and **Integration**. The ultimate goal is **INTEGRATION** making funds usable without suspicion. FATF defines ML as *"processing criminal proceeds to disguise their illegal origin."* The trainee confuses hiding (placement only) with the full ML cycle.

EXAM TRAP: Hiding alone $\neq$ money laundering. Without **integration**, funds remain unusable.

Q2: Three Stages Placement vs Layering vs Integration

Question

A criminal wires \$500K through 15 intermediary accounts in 6 countries before purchasing a real estate investment. Which ML stage BEST describes the wire transfer activity?

- A. Placement funds are entering international financial accounts.
- B. Layering transactions designed to obscure the trail and origin of funds.
- C. Integration funds are moving toward a legitimate asset purchase.
- D. Structuring multiple transfers are used to stay below thresholds.

✓ **CORRECT: B** is correct.

Explanation: **Layering** is characterized by complex multi-step transactions to create distance between illicit funds and their criminal origin. Multiple accounts, multiple jurisdictions, and rapid wire transfers are hallmark layering techniques. **Placement** = initial introduction of illicit cash. **Integration** = final stage where funds re-enter as apparently lawful assets.

EXAM TRAP: Multiple transfers $\neq$ structuring. Structuring = breaking up cash deposits to avoid CTR thresholds.

Section 2: Terrorist Financing vs Money Laundering

The Critical Distinction That CAMS Tests Most Frequently

Money Laundering

- ▶ Funds are **ALWAYS ILLICIT**
- ▶ Focus: **SOURCE** of funds
- ▶ Goal: **HIDE ORIGIN**
- ▶ Three stages: Placement → Layering → Integration

Terrorist Financing

- ▶ Funds can be **100% LEGITIMATE**
- ▶ Focus: **DESTINATION / INTENT**
- ▶ Goal: **FUND TERRORISM**
- ▶ No integration stage required funds only need to reach the recipient

REMEMBER: REMEMBER: ML = where money came from (source). TF = where money is going (destination/purpose).

Q3: Terrorist Financing vs Money Laundering The Critical Distinction

Question

An investigator states: *"This charity diverted legitimate donations to extremists but since the money was legitimate, it cannot be terrorist financing."* What is the critical error?

- A. TF requires illegal source funds; legitimate funds cannot constitute TF.
- B. TF is defined by the PURPOSE of funds, not the source legitimate funds diverted for terrorism IS TF.
- C. The error is that charity fraud, not TF, applies when source funds are legal.
- D. No error TF requires both illegal source AND illegal destination.

✓ **CORRECT: B** is correct.

Explanation: TF funds can be entirely **legitimate** (salaries, charity donations, savings) provided the **INTENT** is to support terrorism. FATF Recommendation 5 criminalizes TF regardless of source legality. The investigator confused source of funds (irrelevant for TF) with purpose/destination (determinative for TF).

EXAM TRAP: TF funds can be 100% legitimate. **Destination and intent**, not source, are determinative.

Q4: Terrorist Financing Why Hard to Detect

Question

Which characteristic makes terrorist financing transactions MOST DIFFICULT to detect compared to money laundering?

- A. TF always uses cryptocurrency, which is untraceable.
- B. TF amounts are often small and below reporting thresholds, with no need to enter the legitimate financial system.
- C. TF is not criminalized in most jurisdictions, limiting detection cooperation.
- D. TF always involves foreign jurisdictions, making domestic detection impossible.

✓ **CORRECT: B** is correct.

Explanation: TF transactions are often **small** (below CTR/STR reporting thresholds) and may involve entirely normal financial products. The funds do **NOT need** to be “cleaned” no integration stage is required. This makes TF behaviorally indistinguishable from normal transactions.

EXAM TRAP: TF $\neq$ large amounts. Small, legitimate-appearing transactions are the hallmark detection challenge.

Q5: TF Criminalization FATF Recommendation 5

Question

Under FATF Recommendation 5, which statement about the criminalization of terrorist financing is MOST ACCURATE?

- A. TF must be criminalized only when the funds derive from drug trafficking.
- B. TF must be criminalized regardless of whether the funds are from legitimate or illicit sources, and regardless of whether a terrorist act actually occurs.
- C. TF criminalization is optional for countries that have ratified the UN Convention against Transnational Organized Crime.
- D. TF requires proof that funds were actually used to carry out a terrorist attack.

✓ **CORRECT: B** is correct.

Explanation: FATF Recommendation 5 requires TF criminalization regardless of source and regardless of whether an attack actually occurs. The offense is complete when funds are provided/collected with terrorist intent.

EXAM TRAP: TF offense is complete on **intent and provision of funds**. No terrorist act needs to occur.

Key Sanctions Concepts for CAMS

Three Critical Rules

1. **Strict Liability:** Civil sanctions violations require NO intent "We didn't know" is NOT a defense.
2. **50% Rule:** Entities owned 50%+ by a designated person are blocked even if not listed on the SDN list.
3. **Comprehensive vs Targeted:** Goods screening $\neq$ sanctions screening both must be checked independently.

REMEMBER: REMEMBER: SDN list screening alone is insufficient. Must trace ownership.

Q6: Sanctions OFAC 50% Rule

Question

A compliance officer approves a payment to Company X because it is not on the OFAC SDN list. However, Company X is 60% owned by a designated individual. What error has the officer made?

- A. No error only directly-listed entities are sanctioned under US law.
- B. The officer failed to apply OFAC's 50% rule: entities 50%+ owned by a designated person are blocked even if not themselves listed.
- C. The officer should have applied the EU's 25% beneficial ownership threshold instead.
- D. The error is minor a blocked transaction report satisfies compliance.

✓ **CORRECT: B** is correct.

Explanation: OFAC's **50% rule**: any entity **owned 50% or more** by a designated person is itself blocked, regardless of whether it appears on the SDN list. Aggregate ownership counts (e.g., two designated persons each owning 30% = 60% combined = blocked).

EXAM TRAP: SDN list screening alone is **insufficient**. Must trace ownership.

Q7: Sanctions Strict Liability

Question

A bank processes a sanctioned transaction due to a data entry error, with no intent to evade sanctions. What is the correct legal position?

- A. No violation intent is required for a sanctions breach under OFAC regulations.
- B. Civil violation only criminal penalties require intent, civil do not.
- C. Sanctions are strict liability inadvertent violations can result in civil penalties even without intent.
- D. The bank is protected if it self-reports within 10 business days.

✓ **CORRECT: C** is correct.

Explanation: Sanctions regimes are **strict liability for civil violations** intent is NOT required. A bank can face civil penalties for inadvertent screening failures. Criminal prosecution typically requires intent/willfulness, but civil fines can be substantial even for honest mistakes.

EXAM TRAP: Civil sanctions violations = strict liability. "We didn't know" is NOT a defense.

Q8: Sanctions Comprehensive vs Targeted

Question

A bank processes a payment involving goods not on any restricted list, between two non-sanctioned companies, but the beneficial owner of one company is a national of a comprehensively sanctioned country. The officer states: *"The goods aren't restricted, so we can process this."* Why is this wrong?

- A. Correct reasoning goods classification is the only relevant factor.
- B. Wrong comprehensive country sanctions can prohibit all transactions involving nationals of that country.
- C. Wrong the payment should be blocked only if over \$10,000.
- D. Correct only if the goods are dual-use items.

✓ **CORRECT: B** is correct.

Explanation: Comprehensive sanctions (e.g., Iran, Cuba, North Korea) can block all transactions involving designated country nationals. **Goods/export controls** are a separate regime. The officer's error conflates goods controls with sanctions both must be checked independently.

EXAM TRAP: Goods restriction lists $\neq$ sanctions lists. Sanctions screen **parties**; export controls screen **goods**.

Facilitation Payments The Critical Difference

UK Bribery Act 2010

- ▶ **ZERO** facilitation payment tolerance
- ▶ **Global** extraterritorial reach
- ▶ Corporate offense: failure to prevent bribery
- ▶ Applies to UK companies worldwide

US FCPA

- ▶ Has a narrow facilitation payment exception
- ▶ Exception narrowed by DOJ/SEC in practice
- ▶ Many companies ban by policy
- ▶ Applies to US companies and issuers

Q9: UK Bribery Act vs FCPA Facilitation Payments

Question

A UK-incorporated company operating in a country where local law permits facilitation payments makes such a payment. The regional manager argues local law makes it acceptable. The compliance officer disagrees. Who is correct?

- A. Manager is correct local law governs; UK Bribery Act defers to host country law.
- B. Both are wrong all payments to officials are illegal under both UK and US law.
- C. Compliance officer is correct UK Bribery Act 2010 prohibits facilitation payments globally, regardless of local law.
- D. Manager is correct the FCPA's facilitation payment exception applies to UK companies.

✓ **CORRECT: C** is correct.

Explanation: UK Bribery Act 2010: (1) Explicitly **prohibits** facilitation payments NO exception; (2) **Extraterritorial reach** applies to UK companies anywhere in the world. A UK company cannot use FCPA standards or local law to justify facilitation payments.

EXAM TRAP: UK Bribery Act = **ZERO** facilitation payment tolerance, **globally**.

The Critical Distinction Is Disclosure

Tax Evasion = Illegal concealment or misrepresentation of taxable income/assets.

Tax Avoidance = Legal use of legitimate structures to reduce tax burden.

The same offshore trust can be legal (avoidance) if fully disclosed, or illegal (evasion) if concealed.

Q10: Tax Evasion vs Tax Avoidance

Question

A wealthy client uses offshore trusts and tax-haven structures. The key factor determining whether this is **ILLEGAL** tax evasion vs. **LEGAL** tax avoidance is:

- A. Whether the jurisdiction has a tax treaty with the client's home country.
- B. Whether the structures were set up by a licensed attorney.
- C. Whether the client **FULLY DISCLOSES** all assets, income, and structures to relevant tax authorities.
- D. Whether the tax saved exceeds a materiality threshold.

✓ **CORRECT: C** is correct.

Explanation: The **critical distinction is disclosure and truthfulness**. The same offshore trust can be legal (avoidance) if fully disclosed to authorities, or illegal (evasion) if concealed. Tax evasion is a **predicate offense for ML** in most FATF member jurisdictions.

EXAM TRAP: Offshore structures alone $\neq$ evasion. **Concealment from tax authorities** is the line.

Understanding the Difference

Synthetic Identity Fraud

- ▶ **MANUFACTURED** identities
- ▶ Combines real elements (e.g., real SSN) with fabricated information
- ▶ No single victim reports the theft
- ▶ Harder to detect
- ▶ Bust-out pattern: build credit, extract maximum, disappear

Traditional Identity Theft

- ▶ **COMPLETE** stolen identity
- ▶ Uses a real, identified person's complete identity
- ▶ Victim reports the theft
- ▶ Detection often starts with victim complaint

Q11: Synthetic Identity Fraud vs Identity Theft

Question

A bank sees applications with different names and addresses but the SAME Social Security Number variants (slightly altered). This is BEST classified as:

- A. Traditional identity theft the SSN belongs to real victims being impersonated.
- B. Application fraud using stolen but unaltered identities.
- C. Synthetic identity fraud new identities manufactured by combining real and fabricated data elements.
- D. Structuring the applications are designed to stay below detection thresholds.

✓ **CORRECT: C** is correct.

Explanation: **Synthetic identity fraud** creates MANUFACTURED identities by combining real elements (often a real SSN) with fabricated information (fake names, addresses, DOBs). Key detection signals: same SSN variant with multiple name/address combinations; no consistent credit history; rapid account opening followed by cash-out.

EXAM TRAP: Synthetic fraud $\neq$ identity theft. No single real victim a new identity is **created** from mixed real/fake data.

Q12: Fraud Proceeds as ML Predicate

Question

A bank identifies loan applications using fabricated employment and income documents. Loans are approved, quickly withdrawn, and transferred overseas. What TWO crimes have been committed?

- A. Only fraud money laundering requires a separate criminal organization.
- B. Only money laundering the overseas transfer is the offense.
- C. Fraud (predicate offense) AND money laundering (laundering of fraud proceeds).
- D. Tax evasion and wire fraud only.

✓ **CORRECT: C** is correct.

Explanation: Fraud is a **designated predicate offense** for money laundering under FATF standards. Both crimes are charged simultaneously: fraud (the underlying crime) and money laundering (laundering the proceeds). The bank must file a SAR.

EXAM TRAP: Fraud + overseas transfer = **two crimes**: fraud (predicate) AND ML (laundering proceeds).

FATF Designated Categories of Predicate Offenses

FATF designates **21 categories of predicate offenses**, including:

- ▶ Drug trafficking
- ▶ Corruption / bribery
- ▶ Fraud
- ▶ Counterfeiting
- ▶ Smuggling
- ▶ Human trafficking
- ▶ Tax crimes (in jurisdictions that criminalize them)
- ▶ Arms trafficking
- ▶ **Environmental crime**
- ▶ Cybercrime
- ▶ Terrorism
- ▶ Proliferation financing

Note: Minor civil infractions (e.g., jaywalking, parking violations) are NOT predicate offenses.

Q13: Predicate Offenses FATF Categories

Question

Under FATF standards, which of the following is NOT a designated category of predicate offense for money laundering?

- A. Drug trafficking.
- B. Tax crimes (in jurisdictions that criminalize them).
- C. Minor civil infractions (e.g., jaywalking, parking violations).
- D. Environmental crime.

✓ **CORRECT: C** is correct.

Explanation: FATF designates **21 categories of predicate offenses** all are *serious crimes*. Minor civil infractions are NOT predicate offenses. Environmental crime has been an increasingly emphasized predicate in recent FATF guidance.

EXAM TRAP: Not ALL crimes are predicates FATF focuses on **serious offenses**.

The Crime That Does NOT Require Dirty Money

REMEMBER: Structuring is illegal EVEN with clean money.

31 USC 5324: The crime is deliberately breaking up cash transactions to keep them BELOW the reporting threshold (US: \$10,000 CTR threshold).

You do NOT need to prove the money is from crime to prove structuring.

Bank staff must file SARs and must NOT alert the customer (tipping off prohibition).

Q14: Structuring (Smurfing) Key Rule

Question

A criminal uses 20 individuals to each deposit \$9,500 in cash at different branches of the same bank on the same day. Which statement is MOST accurate?

- A. No crime no single deposit exceeds \$10,000, so no CTR is required.
- B. Structuring (smurfing) deliberately breaking up transactions to avoid the \$10,000 CTR threshold, which is a crime under 31 USC 5324 even if the underlying funds are entirely legitimate.
- C. Tax evasion cash deposits are not ML if funds are from legal sources.
- D. Insider trading multiple accounts used to conceal investment activity.

✓ **CORRECT: B** is correct.

Explanation: Structuring is the illegal act of deliberately breaking up cash transactions to keep them BELOW a reporting threshold. **Critical:** Structuring is a crime under 31 USC 5324 **even if the underlying funds are entirely legitimate**. You do NOT need to prove the money is from crime. The criminal intent is avoiding the CTR filing.

EXAM TRAP: Structuring is illegal **even with clean money**. The crime is avoiding the reporting requirement.

Q15: CTR vs SAR When Each Is Required

Question

A US bank customer deposits exactly \$9,800 in cash every week for 6 months. No single deposit exceeds \$10,000. The bank has not filed CTRs but has filed a SAR. Which statement is MOST accurate?

- A. Wrong CTRs are required because the weekly pattern exceeds \$10,000.
- B. Partially correct no CTR is required (no single transaction over \$10K), but the SAR is appropriate because the \$9,800 pattern indicates structuring.
- C. Wrong the bank must file both CTRs and SARs for every \$9,800 deposit.
- D. Wrong the bank's only obligation is to freeze the account.

✓ **CORRECT: B** is correct.

Explanation: CTRs are required for SINGLE cash transactions over \$10,000. No individual deposit here exceeds \$10,000, so no CTR is legally required. However, the weekly \$9,800 pattern is textbook structuring the bank is REQUIRED to file a SAR. CTRs are transaction-triggered; SARs are behavior/suspicion-triggered.

EXAM TRAP: CTR = triggered by single transactions over \$10K. SAR = triggered by suspicious behavior/patterns regardless of dollar amount.

The Most Frequently Tested Distinction

US SAR

- ▶ BSA obligation for **defined financial institutions**
- ▶ Banks, broker-dealers, MSBs, mutual funds, insurance companies, casinos
- ▶ US lawyers and real estate agents have **NO BSA SAR obligation**
- ▶ Filed with FinCEN

Non-US STR

- ▶ Filed by DNFBPs and financial institutions
- ▶ Lawyers, real estate agents, casinos, TCSPs have STR obligations
- ▶ Filed with national FIU
- ▶ FATF Recommendation 23 covers DNFBPs

REMEMBER: REMEMBER: US lawyers/real estate agents do NOT file SARs. Non-US DNFBPs file STRs with national FIUs.

Q16: SAR vs STR Who Has the Obligation?

Question

Under the US Bank Secrecy Act (BSA), which entities are REQUIRED to file Suspicious Activity Reports (SARs)?

- A. All US businesses whenever they suspect a crime involving money.
- B. Only federally-chartered banks.
- C. BSA-defined “financial institutions”: banks, broker-dealers, MSBs, mutual funds, insurance companies, casinos NOT US attorneys or US real estate agents.
- D. All FATF-member entities universally.

✓ **CORRECT: C** is correct.

Explanation: In the US, SAR filing is a BSA obligation for **defined financial institutions** only. US **attorneys** and **real estate agents** do NOT have BSA SAR obligations. In other jurisdictions, DNFBPs file STRs with national FIUs.

EXAM TRAP: US SAR = BSA obligation for **defined FIs**. US lawyers/real estate agents $\neq$ BSA SAR filers.

Q17: STR Obligation DNFBPs Outside the US

Question

In a FATF-member jurisdiction (outside the US), a lawyer assists with a real estate transaction and identifies suspicious circumstances. What AML obligation does the lawyer typically have?

- A. No obligation attorney-client privilege fully exempts lawyers from AML reporting.
- B. File a SAR with FinCEN if the client is American.
- C. File a Suspicious Transaction Report (STR) with the national FIU for designated activities, subject to legal professional privilege carve-outs.
- D. Report directly to the client's home country regulators.

✓ **CORRECT: C** is correct.

Explanation: Under FATF Recommendation 23, DNFBPs including lawyers are required to file STRs when they perform **designated activities**: real estate transactions, managing client funds, company/trust formation. **Legal professional privilege** protects legal *advice* but does NOT protect transactional facilitation.

EXAM TRAP: Lawyers DO have STR obligations for **designated transactional activities**. LPP does NOT protect transactional facilitation.

A Criminal Offense in All FATF Jurisdictions

REMEMBER: Tipping off is a CRIMINAL OFFENSE.

Once a SAR/STR has been filed, staff are PROHIBITED from disclosing to the subject:

- ▶ That a SAR/STR has been filed
- ▶ That an ML/TF investigation is underway

US: 31 USC 5318(g)(2) SAR secrecy is absolute.

Exception: Intra-group sharing in certain jurisdictions (limited).

Q18: Tipping Off Criminal Prohibition

Question

A bank files a SAR on a customer suspected of ML. The customer's relationship manager then warns the customer that a report has been filed. What has occurred?

- A. A minor procedural breach the SAR remains valid but must be refiled.
- B. The tipping-off offense illegal disclosure of a SAR filing to the subject, carrying criminal penalties.
- C. A legitimate customer service action customers have a right to know when they are reported.
- D. A GDPR/data privacy breach only no AML-specific offense.

✓ **CORRECT: B** is correct.

Explanation: **Tipping off** is a criminal offense. Once a SAR/STR has been filed, staff are PROHIBITED from disclosing to the subject that a SAR has been filed or that an investigation is underway. Staff face criminal prosecution.

EXAM TRAP: Tipping off = **criminal offense**. SAR secrecy is absolute toward the subject.

FATF Recommendation 13 Key Requirements

EDD Required:

- ▶ Gather information on respondent's business, reputation, and AML supervision
- ▶ Assess respondent's AML/CFT controls
- ▶ Obtain **senior management approval**
- ▶ Document respective AML responsibilities
- ▶ Ensure respondent does **not permit shell banks**

FATF explicitly discourages blanket de-risking.

Q19: Correspondent Banking FATF Recommendation 13

Question

A US bank reviews a correspondent relationship with a respondent bank in a high-risk jurisdiction with weak AML controls. Under FATF Recommendation 13, what is the US bank's PRIMARY obligation?

- A. Terminate all correspondent relationships with high-risk jurisdictions immediately.
- B. Conduct EDD on the respondent: assess AML controls, understand ownership, verify no shell bank clients, and obtain senior management approval.
- C. Limit the relationship to USD correspondent services only.
- D. File SARs covering all transactions for the prior 12 months.

✓ **CORRECT: B** is correct.

Explanation: FATF Recommendation 13 requires EDD including senior management approval. Outright termination ("de-risking") is **NOT FATF's preferred approach**. FATF explicitly discourages blanket de-risking. The obligation is to *manage* risk, not reflexively exit.

EXAM TRAP: FATF **opposes blanket de-risking**. Senior management approval is mandatory.

Q20: Shell Banks Absolute Prohibition

Question

FATF Recommendation 13 explicitly prohibits banks from doing what regarding shell banks?

- A. Offering currency exchange services to shell banks.
- B. Establishing or maintaining correspondent relationships with shell banks, or allowing respondent banks to use their accounts to serve shell banks.
- C. Accepting deposits from companies registered in tax haven jurisdictions.
- D. Conducting wire transfers for any entity incorporated offshore.

✓ **CORRECT: B** is correct.

Explanation: FATF Recommendation 13 explicitly prohibits correspondent relationships with **shell banks**. A **shell bank** = a bank with *no physical presence* in any country and *not affiliated* with a regulated financial group. This prohibition is **ABSOLUTE** no amount of EDD makes it acceptable.

EXAM TRAP: Shell bank prohibition is **ABSOLUTE** no risk-based exception exists.

Q21: Nested Correspondent Accounts

Question

What is a "nested correspondent account" and why is it particularly high risk?

- A. A correspondent account used only for domestic wire transfers.
- B. An account where a third-party institution accesses the correspondent bank's services INDIRECTLY through the respondent, without the correspondent knowing the ultimate end-users.
- C. A savings account nested within a checking account for cash management.
- D. A correspondent relationship between two banks in the same jurisdiction.

✓ **CORRECT: B** is correct.

Explanation: A **nested correspondent account** occurs when a respondent bank allows ITS OWN CLIENTS to conduct transactions through the respondent's correspondent account. The correspondent has done CDD on the respondent but has NO VISIBILITY into the respondent's clients. This creates a "black box" for illicit actors.

EXAM TRAP: Nested accounts = correspondent's services reach **unknown end-users**.

Using Trade to Transfer Illicit Value

Over-invoicing: Buyer pays more than goods are worth → value moves TO seller.

Under-invoicing: Buyer pays less than goods are worth → value moves TO buyer.

Value transferred = (billed price – market price) × quantity.

REMEMBER: TBML is extremely difficult to detect without trade finance expertise and commodity market knowledge.

Q22: Trade-Based Money Laundering (TBML)

Question

An invoice shows 10,000 tons of steel at \$500/ton when the market price is \$250/ton. What ML method does this represent, and what is the primary purpose?

- A. Under-invoicing to avoid import duties on the steel.
- B. Over-invoicing to transfer \$2.5M in illicit value from the buyer's jurisdiction to the seller's jurisdiction.
- C. Phantom shipment no goods are actually shipped.
- D. Multiple invoicing the same shipment is invoiced to different buyers.

✓ **CORRECT: B** is correct.

Explanation: Over-invoicing: buyer pays more than goods are worth. Calculation: \$500 billed vs \$250 market → $\$250/\text{ton} \times 10,000 \text{ tons} = \2.5M illicit value transferred to the seller. Under-invoicing moves value to the buyer.

EXAM TRAP: Over-invoicing moves value TO the seller. Under-invoicing moves value TO the buyer.

Q23: Free Trade Zones (FTZ) ML Risk

Question

Why are Free Trade Zones specifically identified by FATF as HIGH RISK for trade-based money laundering?

- A. FTZs operate outside national legal systems making contracts unenforceable.
- B. FTZs only accept payments in foreign currency, complicating AML screening.
- C. FTZs often have reduced customs inspection, minimal AML oversight, and relaxed documentation requirements.
- D. FTZs require all transactions to use a single currency.

✓ **CORRECT: C** is correct.

Explanation: FATF identified FTZs as high-risk due to: (1) **Reduced inspection**; (2) **Documentation gaps**; (3) **Minimal AML oversight**; (4) **Multiple company layering**. Classic TBML in FTZ: invoice a \$10 widget as \$1,000, ship through FTZ with minimal inspection.

EXAM TRAP: FTZ risk = **reduced inspection** + **minimal AML oversight** + **documentation gaps**.

FATF Recommendation 12 Key Requirements

PEP Definition: Individuals entrusted with prominent public functions (heads of state, senior politicians, senior government/judicial/military officials) **AND** their family members and close associates. **EDD Requirements:**

- ▶ **Senior management approval** to establish/continue the relationship
- ▶ **Source of Wealth AND Source of Funds** BOTH required
- ▶ **Enhanced ongoing monitoring**

Q24: PEP Definition FATF Recommendation 12

Question

Under FATF Recommendation 12, which individual is classified as a PEP?

- A. A retired local mayor who left office 10 years ago with no remaining influence.
- B. A mid-level customs officer with no significant discretionary authority.
- C. The adult child of a current foreign head of state who runs a private business.
- D. A senior bank compliance officer at a regulated financial institution.

✓ **CORRECT: C** is correct.

Explanation: FATF Recommendation 12 defines PEPs as individuals entrusted with **prominent public functions AND their family members and close associates**.
The adult child of a current foreign head of state = PEP (family member category).

EXAM TRAP: PEP family members and close associates are **ALSO** PEPs.

Q25: Domestic PEPs Risk Level

Question

A bank onboards a domestic PEP. The compliance team argues domestic PEPs are "lower risk" and standard CDD suffices. Is this correct?

- A. Yes FATF Rec 12 explicitly states domestic PEPs present lower risk.
- B. No domestic PEPs require a risk-based assessment; EDD is required where elevated risk is identified.
- C. Yes domestic PEPs are not covered under FATF Rec 12 at all.
- D. No domestic PEPs always require the same EDD as foreign PEPs.

✓ **CORRECT: B** is correct.

Explanation: FATF Rec 12 allows a **risk-based approach** for domestic PEPs. Institutions CANNOT simply say "domestic = standard CDD" without conducting the risk assessment. EDD is still required when assessment shows elevated risk.

EXAM TRAP: Domestic PEPs need **RISK ASSESSMENT first**, not automatic standard CDD.

Q26: PEP EDD Required Measures under Rec 12

Question

A bank onboards a foreign PEP with \$20M in assets. Under FATF Recommendation 12, which combination of EDD measures is REQUIRED?

- A. Source of funds verification only wealth verification is optional.
- B. Senior management approval, source of WEALTH AND source of FUNDS verification, and enhanced ongoing monitoring.
- C. Standard CDD plus an annual review.
- D. Outsource EDD to a third-party screening provider and rely on their certification.

✓ **CORRECT: B** is correct.

Explanation: FATF Recommendation 12 mandates: (1) **Senior management APPROVAL**; (2) **SOURCE OF WEALTH AND SOURCE OF FUNDS** *both required*; (3) **Enhanced ongoing monitoring**. Third-party screening does NOT discharge the institution's responsibility.

EXAM TRAP: Source of Wealth $\neq$ Source of Funds. FATF Rec 12 requires **BOTH**.

FATF Recommendation 24 Key Definition

Beneficial Owner = The natural person(s) who ultimately OWN or CONTROL a legal entity.

- ▶ 25% is a **starting point**, NOT a safe harbor
- ▶ Control through other means triggers identification regardless of ownership percentage
- ▶ Fallback: if no natural person meets the threshold, the senior managing official serves as fallback

Q27: Beneficial Ownership FATF Recommendation 24

Question

Under FATF Recommendation 24, what defines the "beneficial owner" of a company?

- A. The registered director of the company.
- B. Any person with a legal contract with the company.
- C. The natural person(s) who ultimately OWN or CONTROL the legal entity (commonly using 25% as an initial threshold).
- D. The CEO regardless of equity ownership percentage.

✓ **CORRECT: C** is correct.

Explanation: Beneficial owner = natural person who ultimately owns or controls. Key elements: (1) **Natural person**; (2) **Ultimate** through all layers; (3) **Control** through ownership, voting rights, board control; (4) **25% threshold** is a starting point only.

EXAM TRAP: 25% is a **starting point**, not a safe harbor. Control through other means triggers identification.

Section 15: Customer Due Diligence (CDD)

Ongoing Monitoring & Simplified Due Diligence

Ongoing Monitoring

Compare ACTUAL transaction activity against the EXPECTED PROFILE established during onboarding. Significant deviations trigger review.

Simplified Due Diligence (SDD)

Permitted only when risk is **LOW** based on NRA + institutional risk assessment. SDD does NOT mean zero CDD – core identification is still required. **Suspicion overrides SDD automatically.**

Q28: CDD Ongoing Monitoring

Question

Which transaction pattern should MOST URGENTLY trigger a CDD review under ongoing monitoring obligations?

- A. A business account receiving monthly revenue consistent with declared activity.
- B. A personal account receiving a one-time inheritance consistent with prior disclosures.
- C. A business declared as a small retail shop suddenly receiving \$500K in international wire transfers from high-risk jurisdictions.
- D. A personal savings account with monthly direct deposit from the same employer for 3 years.

✓ **CORRECT: C** is correct.

Explanation: Ongoing monitoring requires comparing **ACTUAL** activity against the **EXPECTED PROFILE**. The highest alert trigger: transactions **INCONSISTENT WITH THE CUSTOMER'S DECLARED BUSINESS PURPOSE**.

EXAM TRAP: Ongoing monitoring = compare actual activity to **expected profile**.

Q29: Simplified Due Diligence (SDD) When Permitted

Question

Under FATF Recommendation 10, when is Simplified Due Diligence (SDD) permissible?

- A. Always SDD is the default for retail customers.
- B. Never FATF requires full CDD for all customers at all times.
- C. Only when the NRA, institutional risk assessment, and customer/product analysis demonstrate the ML/TF risk is LOW.
- D. Only for government entities and listed public companies.

✓ **CORRECT: C** is correct.

Explanation: SDD is permitted only when risk is **LOW**. SDD does NOT mean zero CDD core identification is still required. **Suspicion overrides SDD automatically.**

EXAM TRAP: SDD $\neq$ no CDD. Suspicion **overrides SDD automatically.**

Agent Network Liability Principal Responsibility

REMEMBER: Principal MSBs are responsible for their agents' AML compliance.

Under US BSA rules (31 CFR 1022.380):

- ▶ Principal registers with FinCEN; agents do not separately register
- ▶ Principal must maintain a current list of agents
- ▶ Principal's AML program must cover agent activity
- ▶ Agent liability = principal liability

Example: Western Union enforcement action (2017, \$586M settlement).

Q30: MSB Agent Networks Principal Liability

Question

A large US money transmitter has 500 agents across high-risk jurisdictions with no AML oversight of agent activity. What is the PRINCIPAL regulatory risk?

- A. Currency exchange rate risk from international transactions.
- B. The principal transmitter bears responsibility for AML compliance across its agent network.
- C. Agents operate under local rules only; principal has no responsibility.
- D. Reputation risk only agent failures create no legal liability.

✓ **CORRECT: B** is correct.

Explanation: Under US BSA rules, a **principal money transmitter is responsible for AML compliance of its AGENTS**. If an agent facilitates ML, the PRINCIPAL can face regulatory action. The Western Union enforcement action (2017, \$586M) illustrates this.

EXAM TRAP: Principal MSBs are **responsible for their agents'** AML compliance.

Transaction Laundering The Key Risk

Transaction Laundering: Using fake/front merchant accounts to process payments for illicit goods/services through a legitimate PSP. **Red Flags:**

- ▶ Minimal real inventory but high transaction volume
- ▶ Multiple accounts with inconsistent beneficiaries
- ▶ Refund/chargeback patterns inconsistent with legitimate retail

Q31: PSP / E-Commerce Transaction Laundering

Question

An online marketplace detects sellers with low inventory but processing thousands of small transactions, using multiple account names with different payment destinations. What ML technique does this represent?

- A. Legitimate high-volume retail no concern.
- B. Transaction laundering using fake/front merchant accounts to process payments for illicit goods/services.
- C. Arbitrage trading legal profit from price differentials.
- D. Chargeback fraud disputing legitimate transactions.

✓ **CORRECT: B** is correct.

Explanation: Transaction laundering: illicit actors use legitimate merchant accounts to process payments for illegal goods/services. Pattern: minimal real inventory but high transaction volume; multiple accounts with inconsistent beneficiaries.

EXAM TRAP: Transaction laundering = illicit proceeds hidden as e-commerce revenue.

Q32: E-Commerce ML Mitigation Controls

Question

An e-commerce platform wants to reduce ML risk while maintaining business growth. Which combination of controls is MOST EFFECTIVE?

- A. Require all sellers to use cryptocurrency to enable blockchain tracing.
- B. Tiered seller onboarding, transaction monitoring, sanctions screening, and STR/SAR filing.
- C. Limit the platform to domestic sellers only.
- D. Only apply controls to sellers transacting over \$10,000 per month.

✓ **CORRECT: B** is correct.

Explanation: Effective e-commerce AML controls: (1) **Tiered onboarding** scale CDD to risk; (2) **Transaction monitoring**; (3) **Sanctions screening**; (4) **STR/SAR filing**. Cryptocurrency does not resolve ML risk.

EXAM TRAP: Cryptocurrency does not resolve ML risk it creates additional VASP obligations.

Placement and Integration Through Insurance

Highest-Risk Combination:

1. **Single large premium** (lump sum = placement)
2. **Cash payment** (avoids bank KYC)
3. **Early surrender** immediately after issue (integration)

The penalty for early surrender is the “laundering fee.”

Q33: Life Insurance ML Red Flags

Question

Which combination makes a life insurance policy HIGHEST risk for money laundering?

- A. A 30-year term life policy with monthly premiums from a salary account.
- B. A single-premium life policy (\$500K+) purchased with cash, where the policyholder requests early surrender immediately after issue.
- C. A group life policy purchased by an employer for 50 employees.
- D. A universal life policy with automatic premium waiver.

✓ **CORRECT: B** is correct.

Explanation: Highest-risk combination: (1) **Single large premium**; (2) **Cash payment**; (3) **Early surrender** converts illicit cash → insurance premium → insurance check (appears legitimate).

EXAM TRAP: Single large premium + early surrender = classic **placement/integration** cycle.

The Classic Casino ML Pattern

Placement: Cash → casino chips

Minimal gambling: The “loss” is the laundering service fee

Integration: Casino check with “gambling winnings” paper trail

REMEMBER: Casinos ARE covered by BSA SAR and CTR obligations (31 CFR 1021).

Q34: Casino ML Chip Placement and Integration

Question

A casino high-roller buys \$200,000 in chips with cash, gambles minimally, then cashes out \$190,000 as a casino check. What ML stage does the \$10,000 "loss" represent, and why is the casino check significant?

- A. Layering only the casino check obscures the cash origin.
- B. Placement (chip purchase with cash) followed by integration (casino check creates a "gambling winnings" paper trail).
- C. Structuring \$10,000 below CTR threshold.
- D. Tax evasion gambling losses reduce taxable income.

✓ **CORRECT: B** is correct.

Explanation: Classic casino ML: (1) **Placement** cash to chips; (2) Minimal gambling (\$10,000 loss = laundering fee); (3) **Integration** casino check with "gambling winnings" paper trail. The \$200K chip purchase triggers a **CTR**.

EXAM TRAP: Casino check = **integration tool**. The \$200K chip purchase requires a **CTR**.

Real Estate as an Integration Vehicle

Highest-Risk Combination:

1. **Shell company** conceals beneficial owner
2. **All-cash purchase** bypasses bank mortgage KYC
3. **Unknown beneficial owner** critical AML gap
4. **Foreign buyer** potential cross-border ML

Q35: Real Estate ML Integration

Question

A foreign shell company purchases a \$3M residential property with all-cash (no mortgage). The beneficial owner is unknown. Which red flag combination is MOST significant?

- A. Residential property commercial real estate is higher risk.
- B. Shell company + all-cash purchase + unknown beneficial owner + no mortgage = classic real estate ML integration pattern.
- C. Foreign buyer only domestic purchases present no ML risk.
- D. Amount is below significant thresholds; no reporting required.

✓ **CORRECT: B** is correct.

Explanation: Highest-risk combination: (1) **Shell company**; (2) **All-cash purchase** (bypasses bank KYC); (3) **Unknown beneficial owner**. FinCEN GTOs require beneficial owner identification for all-cash shell company purchases.

EXAM TRAP: Cash purchase = **no bank KYC layer**. Shell company + cash = highest risk.

Why Art Is Attractive for ML

- ▶ **Subjective valuation** no objective market price, enabling manipulation
- ▶ **Private sales** no exchange, no public price discovery, anonymous parties
- ▶ **Portability** crosses borders with limited inspection
- ▶ **Over/under-invoicing** transfer value between parties

US AMLA 2020: Expanded BSA to cover art dealers for transactions over \$10,000.

Q36: Art and Antiquities ML Risks

Question

A high-value artwork is sold through a private sale with no public record, at a price far above any prior valuation. What ML risk does this represent?

- A. No ML risk art sales are private transactions not subject to AML.
- B. Integration via subjective valuation: art prices are subjective, enabling over-valuation to justify moving large sums.
- C. Tax avoidance only art sales are not covered by FATF.
- D. Placement only art purchases introduce new illicit funds.

✓ **CORRECT: B** is correct.

Explanation: Art is attractive for ML integration due to: (1) **Subjective valuation**; (2) **Private sales**; (3) **Portability**; (4) **Over/under-invoicing**. The US AMLA 2020 expanded BSA to cover art dealers.

EXAM TRAP: Subjective valuation = core art ML risk. Art dealers are now **covered entities**.

FATF Recommendations 15 & 16

Rec 15: Foundational framework VASPs must be subject to AML/CFT regulation.

Rec 16 (Travel Rule): Requires originator and beneficiary information for VA transfers $\geq \$1,000$. **Privacy Coins (Monero, Zcash):** Use cryptographic techniques making blockchain analysis ineffective.

Q37: VASPs FATF Recommendation 15

Question

Under FATF standards, which Recommendation is the PRIMARY framework governing Virtual Asset Service Providers (VASPs)?

- A. Recommendation 13 Correspondent Banking.
- B. Recommendation 16 Wire Transfers (Travel Rule).
- C. Recommendation 15 New Technologies, updated in 2019 to include virtual assets.
- D. Recommendation 22 DNFBPs.

✓ **CORRECT: C** is correct.

Explanation: FATF **Recommendation 15** covers New Technologies and requires VASPs to be subject to AML/CFT regulation. **Recommendation 16** (Travel Rule) ALSO applies to VASPs for virtual asset transfers but Rec 15 is the FOUNDATIONAL framework.

EXAM TRAP: Primary VASP framework = **Rec 15**. Travel Rule = **Rec 16**.

Q38: VASP Travel Rule Required Information

Question

Under the FATF Travel Rule (Recommendation 16) extended to VASPs, which information must accompany a virtual asset transfer of \$1,000+?

- A. Only the originator's wallet address beneficiary info is optional.
- B. Originator: full name, wallet address, AND one of (physical address/national ID/customer number/DOB); Beneficiary: name and wallet address.
- C. The transaction hash and block confirmation number only.
- D. AML risk score for the wallet, but no personal identifying information.

✓ **CORRECT: B** is correct.

Explanation: FATF Rec 16 extended to VASPs requires: **ORIGINATOR:** full name, wallet address, AND at least one identifier; **BENEFICIARY:** name and wallet address. **Privacy coins and unhosted wallets** are major compliance gaps.

EXAM TRAP: Both **originator AND beneficiary** information required. Wallet address alone is insufficient.

Q39: Privacy Coins vs Standard Cryptocurrency

Question

Why do privacy coins (e.g., Monero, Zcash) present GREATER AML risk than standard cryptocurrencies like Bitcoin?

- A. Privacy coins are faster, allowing criminals to move more funds.
- B. Privacy coins obfuscate sender, receiver, and transaction amounts using cryptographic techniques, making blockchain analysis largely ineffective.
- C. Privacy coins are not covered under FATF Recommendation 15.
- D. Privacy coins require more computing power, making them harder to confiscate.

✓ **CORRECT: B** is correct.

Explanation: Bitcoin = pseudonymous, NOT anonymous blockchain analytics can trace transactions. Privacy coins: Monero uses ring signatures, stealth addresses, RingCT making tracing near-impossible. Zcash uses zero-knowledge proofs (zk-SNARKs).

EXAM TRAP: Bitcoin = pseudonymous (traceable). Privacy coins = cryptographically anonymous.

Market Manipulation and ML Integration

Wash Trading: Executing buy and sell orders for the same security between related accounts to create the APPEARANCE of trading activity. **In ML context:**

- ▶ Illicit funds enter as “investment capital”
- ▶ Round-trip trades generate “trading profit” documentation
- ▶ Proceeds withdrawn as “investment returns” legitimized (integration)

Q40: Securities Sector Wash Trading

Question

A securities firm identifies a customer conducting rapid round-trip trades buying and selling the same securities between related accounts within hours, with no net economic gain. What does this indicate?

- A. High-frequency trading a legal and common investment strategy.
- B. Wash trading creating artificial trading activity to generate apparent profits for ML integration or market manipulation.
- C. Dollar-cost averaging a conservative investment technique.
- D. Short selling profiting from declining share prices.

✓ **CORRECT: B** is correct.

Explanation: **Wash trading** is ML integration AND market manipulation. Securities firms must file both **SARs** (ML component) AND **market abuse reports** (manipulation component).

EXAM TRAP: Round-trips with no economic gain = **wash trading** = ML integration AND market manipulation.

FATF Recommendation 23 DNFBP Obligations

Lawyers:

- ▶ Can be criminally prosecuted for facilitating ML with knowledge of the predicate offense
- ▶ Attorney-client privilege protects **legal advice**, NOT **transactional facilitation**
- ▶ Must file STRs for designated activities (real estate, company formation, fund management)

TCSPs:

- ▶ Nominee directors/shareholders obscure beneficial ownership
- ▶ Must identify the TRUE beneficial owner not just the nominee client
- ▶ FATF Recs 24/25 require accurate beneficial ownership information

Q41: Gatekeepers Lawyer Liability for ML

Question

A lawyer helps a client incorporate a company, open bank accounts, and purchase real estate, knowing the client's funds derive from drug trafficking. Under what principle can the lawyer face criminal liability?

- A. Lawyers are fully exempt from ML liability due to attorney-client privilege.
- B. Only civil sanctions apply to lawyers no criminal prosecution possible.
- C. The lawyer can be criminally prosecuted for money laundering by facilitating ML transactions with knowledge of the predicate offense.
- D. Liability only attaches if the lawyer personally transferred the funds.

✓ **CORRECT: C** is correct.

Explanation: Attorney-client privilege protects CONFIDENTIAL COMMUNICATIONS for legal advice it does NOT protect a lawyer from criminal prosecution for PARTICIPATING IN or FACILITATING financial crime with knowledge.

EXAM TRAP: Privilege protects legal advice. It does NOT immunize transactional participation in ML.

Q42: TCSPs Nominee Director Risk

Question

A TCSP provides nominee director and shareholder services without verifying the ultimate beneficial owner. What is the PRIMARY ML risk?

- A. The TCSP creates currency exchange risk.
- B. Nominee arrangements obscure true beneficial ownership, enabling criminals to control companies while remaining invisible.
- C. TCSPs are exempt from beneficial ownership requirements.
- D. The risk is limited to the jurisdiction where the trust is formed.

✓ **CORRECT: B** is correct.

Explanation: TCSPs are high-risk because nominee directors/shareholders appear in public records **in place of the true beneficial owner**. TCSPs must apply CDD to identify the TRUE beneficial owner.

EXAM TRAP: Nominees obscure beneficial ownership. TCSPs must look **THROUGH** nominees.

Detecting Trafficking Through Financial Patterns

Red Flags:

- ▶ Multiple small **cash deposits from various locations** (victim payments collected by traffickers)
- ▶ **Rapid wire transfers abroad** (sending proceeds to traffickers in home country)
- ▶ **Multiple rental payments** (controlling multiple locations where victims are housed/controlled)
- ▶ Third-party payments for accommodation, transportation
- ▶ Bulk purchases of food, phones, transportation (logistics for victims)

Financial institutions are often the ONLY institutional contact point able to detect trafficking through financial patterns.

Q43: Human Trafficking Financial Indicators

Question

A bank account receives multiple small cash deposits from different locations, followed by rapid wire transfers abroad, with the account holder paying for multiple apartment rentals. What financial crime might this indicate?

- A. Import/export business activity.
- B. Human trafficking proceeds: cash from victims, rapid repatriation, multiple rental locations.
- C. Standard remittance activity by a migrant worker.
- D. A legitimate real estate portfolio.

✓ **CORRECT: B** is correct.

Explanation: Human trafficking financial signature: **multiple small cash deposits** (victim payments) + **rapid overseas wires** (repatriation) + **multiple rental payments** (controlling locations). FATF issued guidance on this in 2018.

EXAM TRAP: Human trafficking signature: small cash deposits + rapid overseas wires + multiple rentals.

FATF Recommendation 7 PF vs TF

Proliferation Financing

- ▶ Financing WMD programs
- ▶ FATF Rec 7 targeted financial sanctions
- ▶ UN Security Council Resolutions
- ▶ Often involves larger transactions for dual-use goods

Terrorist Financing

- ▶ Financing terrorist acts
- ▶ FATF Rec 5 criminalization
- ▶ Can involve small amounts
- ▶ Funds can be legitimate or illicit

Q44: Proliferation Financing FATF Rec 7

Question

How does proliferation financing (PF) differ from terrorist financing (TF), and which FATF Recommendation specifically addresses PF?

- A. PF and TF are identical both covered under FATF Recommendation 5.
- B. PF funds weapons of mass destruction programs; TF funds terrorist acts. PF is addressed through targeted financial sanctions under FATF Recommendation 7.
- C. PF applies only to nuclear programs; TF covers all other weapons.
- D. PF is addressed under Recommendation 15 as a new technology risk.

✓ **CORRECT: B** is correct.

Explanation: Proliferation Financing (PF) = financing WMD programs. Terrorist Financing (TF) = financing terrorist acts. FATF framework: **Rec 7** requires targeted financial sanctions related to proliferation per UN Security Council Resolutions.

EXAM TRAP: PF $\neq$ TF. PF = WMD financing $\rightarrow$ FATF Rec 7. TF = terrorist acts $\rightarrow$ FATF Rec 5.

Two Dimensions of Assessment

1. **Technical Compliance:** Do laws/regulations technically meet FATF's 40 Recommendations? (Rated C/LC/PC/NC) 2. **Effectiveness:** Is the system working in practice with expected outcomes? (11 Immediate Outcomes; rated HE/SE/ME/LE) **Perfect laws $\neq$ effectiveness.**

Gray List vs Black List

Gray List (Increased Monitoring): EDD required per Rec 19 not blanket termination.

Black List (Call for Action): Countermeasures up to refusing transactions.

REMEMBER: FATF opposes de-risking as inconsistent with the risk-based approach.

Q45: FATF Mutual Evaluations Two Dimensions

Question

In a FATF Mutual Evaluation (4th Round), countries are assessed on two dimensions. What are they, and what does a Gray List placement require financial institutions to do?

- A. GDP size and number of SARs filed; Gray List requires terminating all relationships.
- B. Technical compliance AND Effectiveness; Gray List requires EDD per Rec 19, not blanket termination.
- C. Number of ML convictions and FIU budget; Gray List is informational only.
- D. Treaty ratification and court convictions; Gray List prohibits all transactions.

✓ **CORRECT: B** is correct.

Explanation: FATF 4th Round assesses: (1) **Technical Compliance**; (2) **Effectiveness**. **Gray List:** FATF Rec 19 requires EDD not blanket termination. **De-risking** is NOT compliant with FATF's risk-based approach.

EXAM TRAP: Two dimensions: **technical compliance** + **effectiveness**. Gray List = **EDD required**.

Key Organizations & Their Roles

G-20 Anti-Corruption Working Group

Coordinates with member states to establish and implement multi-year anti-corruption action plans.

FATF Recommendation 18

Requires group-wide AML programs to apply to all branches and subsidiaries.

Basel AML Index

Compiles vulnerability indicators across legal, political, and financial dimensions for country risk assessment.

FATF Immediate Outcome 5

Assesses whether legal persons and arrangements are not misused for ML/TF weak when anonymous shell entities make tracing beneficial ownership difficult.

AI, RPA, and Device Intelligence

AI-Based Screening Systems

When inconsistent transaction rejections occur across business units, best first step: **Engage the governance committee to assess model performance.**

Device Intelligence Tools

Capture: IP address and geolocation, Operating system and installed plugins, Browser type and screen resolution.

Robotic Process Automation (RPA)

Reduces compliance costs by handling large-volume, repeatable tasks.

Internal vs External Sources, Data Lineage

External Sources for Sanctions Screening

FATF blacklists, UN Security Council lists, State Department embargo registries.

Internal vs External Sources

Internal: Observed customer behavior or system-held values.

External: Sanction or adverse media lists from agencies.

Data Lineage for Transparency

Maintaining history of data transformations AND capturing source of each data field.

Clustering in Transaction Monitoring

Reveals shared patterns among entities to detect potential financial crime.

Designated Non-Financial Businesses & Professions

Managing DNFBP Risks

Creating a reputational risk or client selection committee, and using standardized sector-specific questionnaires.

Free Trade Zone Risk

Absence of standardized inspection protocols for transshipped goods significantly increases ML risk.

TCSP Client Acceptance

Should decline unless full beneficial owner information and risk justifications are disclosed and verified.

ESG-Aligned Compliance Requirements

ESG Reporting Examples

- ▶ Publishing carbon emissions by facility
- ▶ Reporting executive salary data across genders
- ▶ Reporting supply chain labor standards

UK-Based Institution Processing Payments

Must conduct enhanced due diligence and evaluate the AML framework of the EEA-based partner before proceeding.

Summary: Key Rules to Memorize for CAMS

Rule	What the CAMS Exam Tests
SAR vs STR	US BSA: defined FIs file SARs with FinCEN. US lawyers/real estate agents = NO BSA SAR. Non-US DNFBPs file STRs with national FIU.
TF vs ML	TF funds can be legitimate ; intent/destination is key. ML funds always illicit; source concealment is key.
Sanctions	Strict liability (civil). OFAC 50% rule: 50%+ owned by designated = blocked even if unlisted.
Facilitation Payments	UK Bribery Act = zero tolerance, global. FCPA = narrow exception.
PEPs	Foreign PEPs: mandatory EDD. Domestic PEPs: risk-based assessment required. SOW and SOF both required.
VASPs	Foundational framework = Rec 15. Travel Rule = Rec 16. Both originator AND beneficiary required $\geq$ \$1K.
Structuring	Illegal even with clean money. Crime = avoiding CTR filing. File SAR; do NOT tip off.
Correspondent Banking	EDD + senior approval required. Shell banks: absolute prohibition.
Beneficial Ownership	Natural person who ultimately owns/controls. 25% = starting point only.
FATF Evaluations	Two dimensions: technical compliance + effectiveness. Gray List = EDD (Rec 19).

Domain A Complete Study Guide

All answers verified against FATF Recommendations, US BSA, UK Bribery Act,
and CAMS Study Guide principles.

*For each question, understand WHY the wrong answers are wrong.
Exam distractors test the same misconceptions repeatedly.*